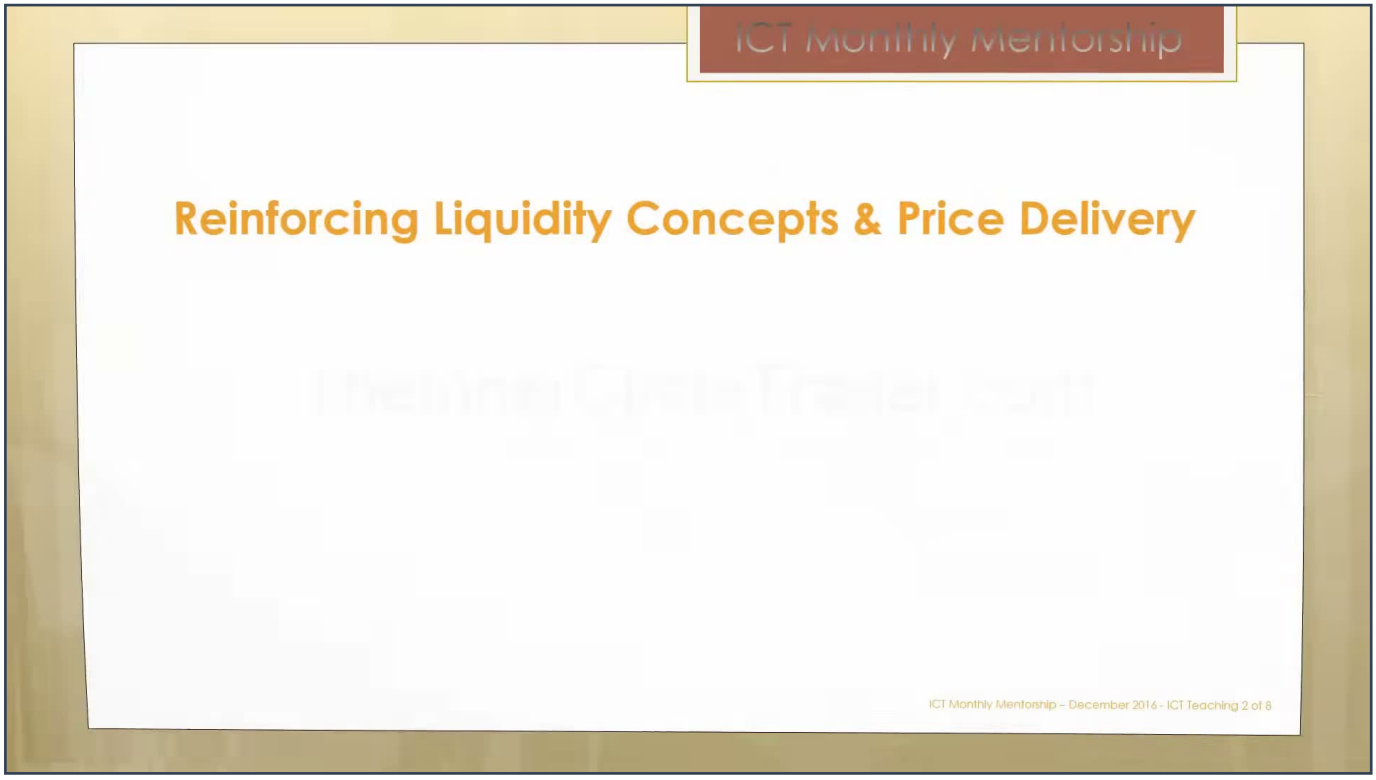
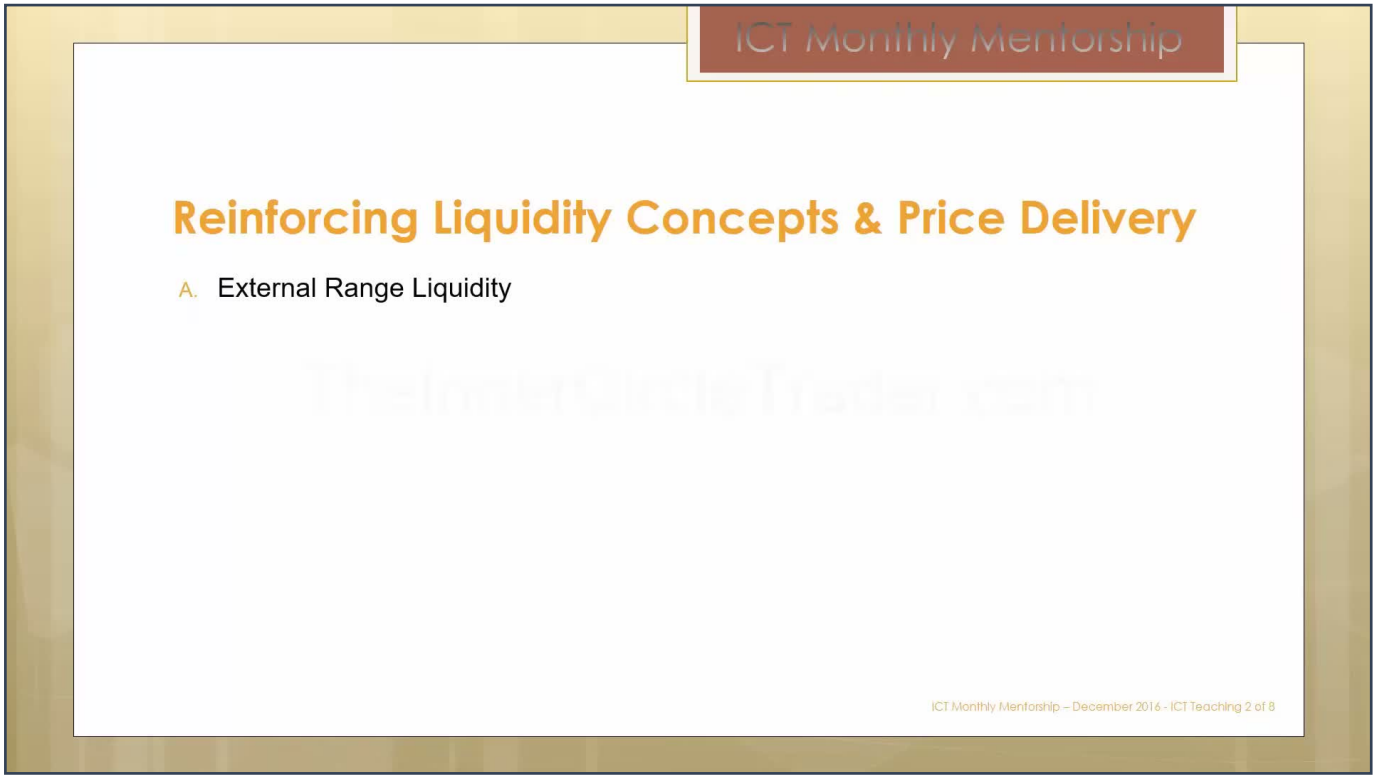
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - REINFORCING LIQUIDITY CONCEPTS & PRICE DELIVERY



Welcome to Module Two of December 2016's teachings for the ICT Mentorship, focusing on reinforcing liquidity concepts and price delivery.



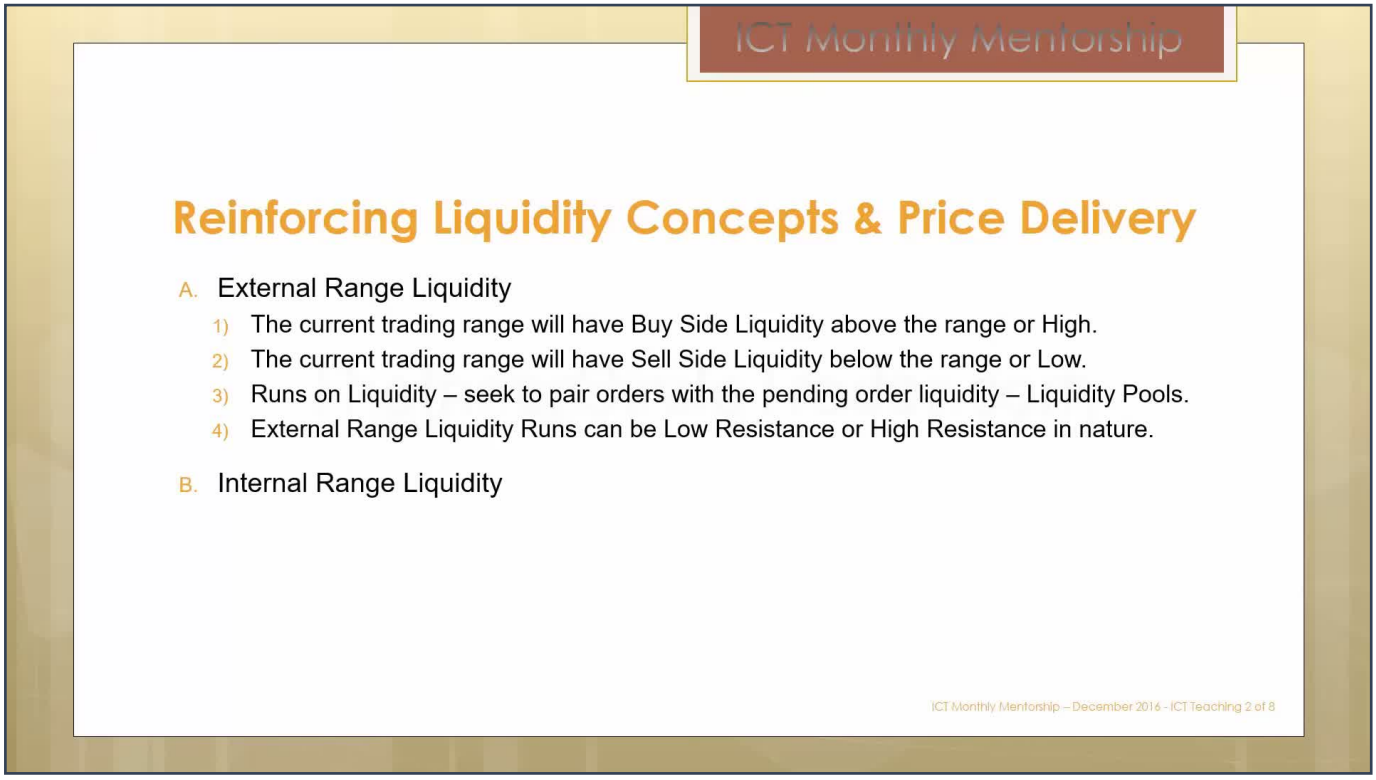
External range liquidity is found outside the current trading range:

- Buy side liquidity is located above the Range High.

- Sell side liquidity is located below the Range Low.

- Runs on liquidity seek to pair orders with pending order liquidity, which forms a liquidity pool.

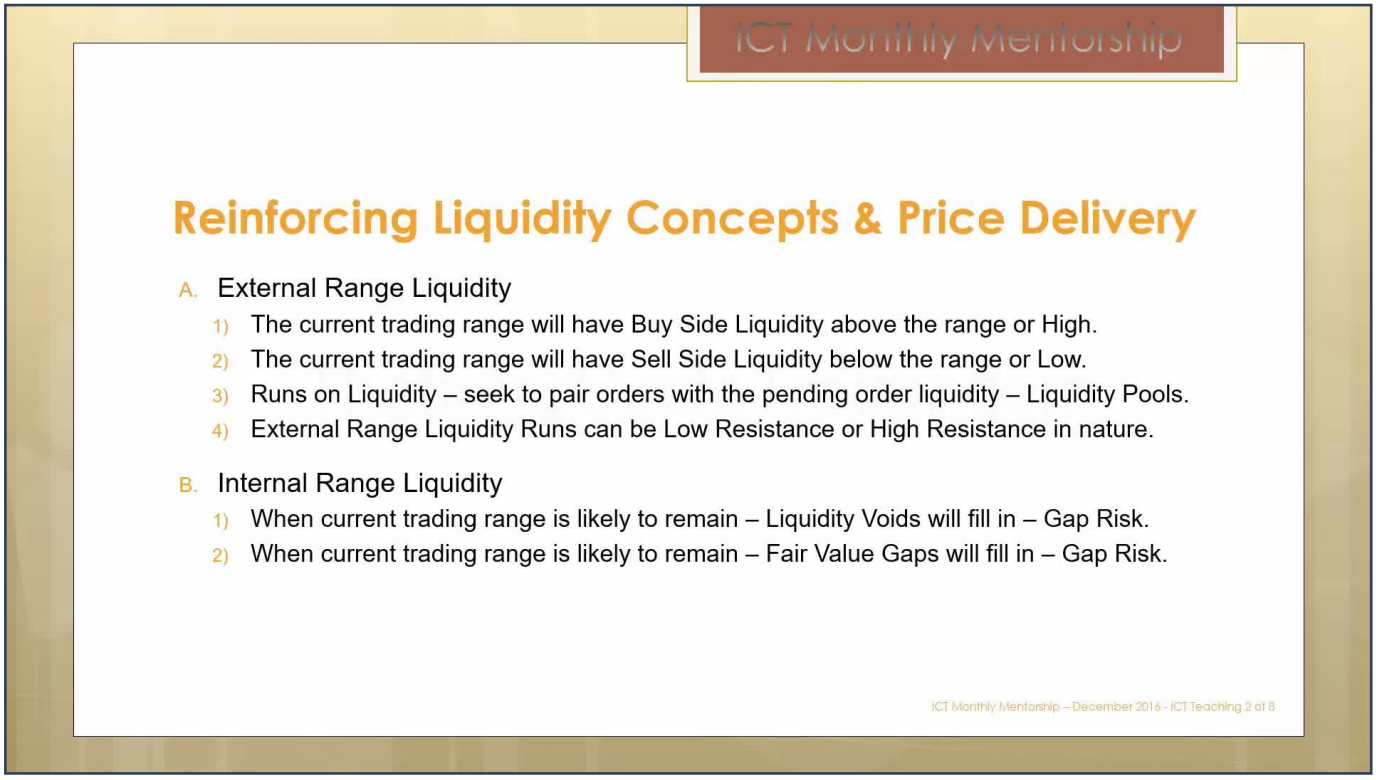
- External range liquidity runs can be low resistance or high resistance in nature. Traders aim for low resistance conditions, meaning minimal opposition to profitability.



Internal range liquidity exists within the current trading range:

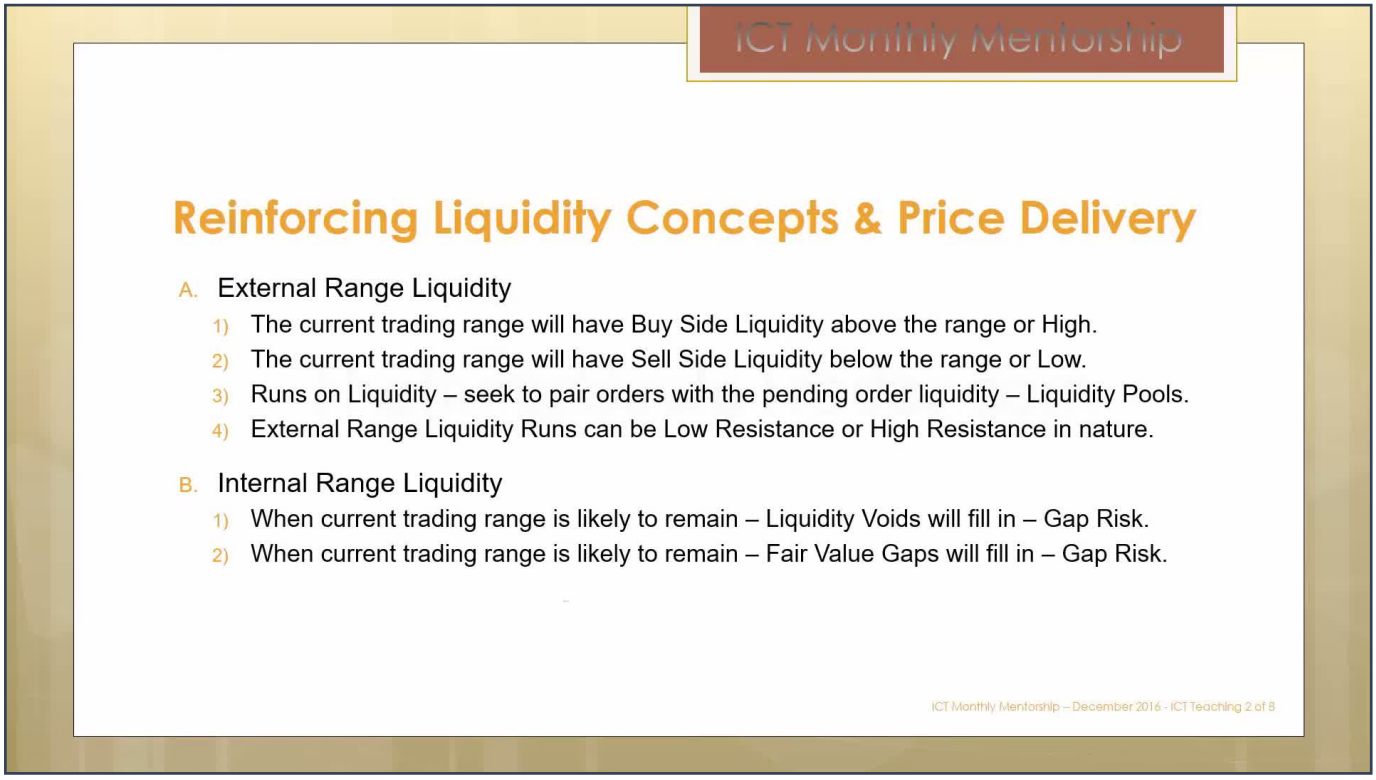
- When the current trading range is likely to remain, liquidity voids will fill in, associated with gap risk.

- Fair value gaps will also fill in when the current trading range is likely to remain, also attributed to gap risk.



Gap risk is when the market quickly reprices to a level where there was very little or no trading. This typically manifests as a liquidity run to close a range with a single, long candle (a gap fill).

- If you are in a long position and there's a big gap underneath, that constitutes gap risk. The market may aggressively reprice to close those ranges, often stopping out traders. ICT seeks these as opportunities.



- Order blocks inside the trading range will be populated with new buy and-or sell orders.

- Market Maker Buy and Sell Models will form inside trading ranges.

VISUALIZING EXTERNAL AND INTERNAL RANGE LIQUIDITY

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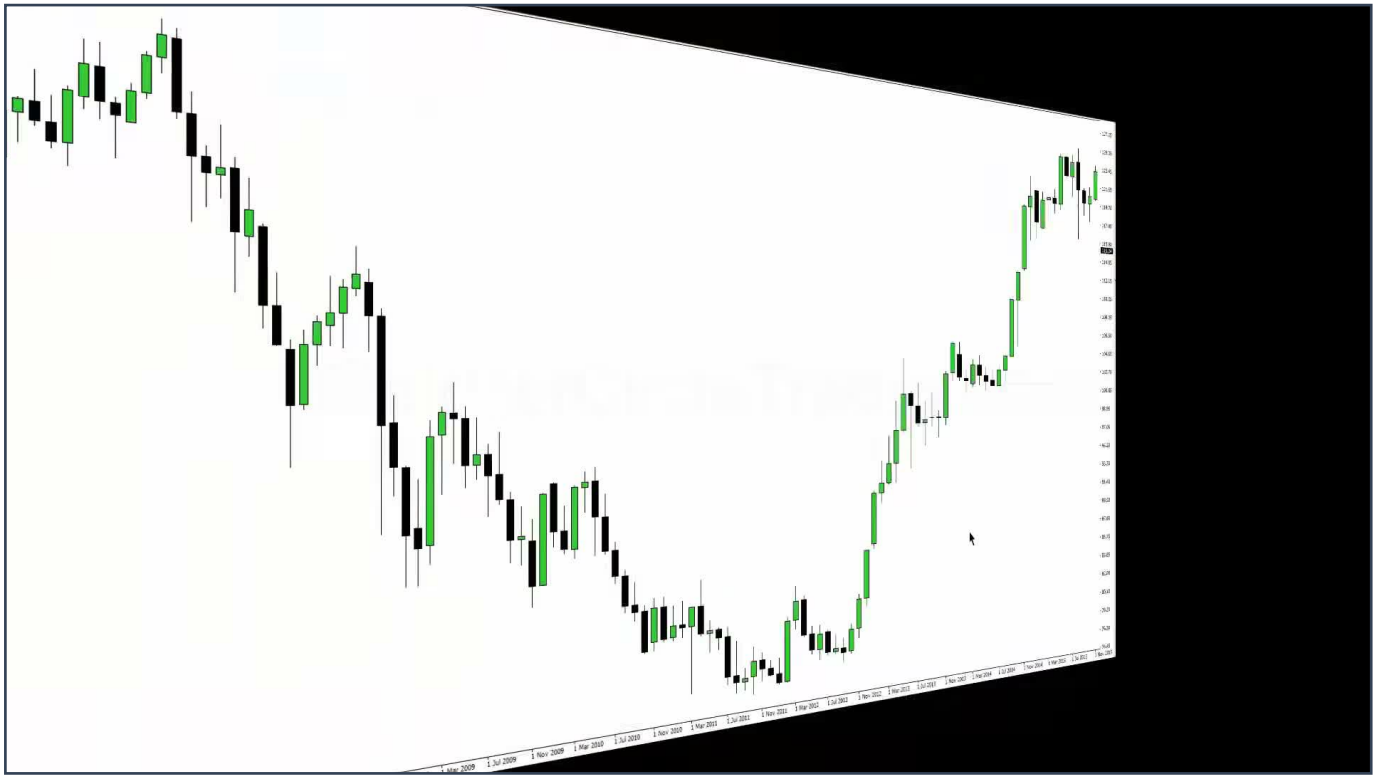

Understanding the difference between external and internal range liquidity is key to utilization.

- An old high and an area of consolidation (equilibrium) serve as reference points.

- Price sweeping above an old high is a form of external range liquidity, as it is outside the previous range from the prior high to its lowest point.

PRICE ACTION AFTER EXTERNAL LIQUIDITY SWEEP

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After a breakout above an old high, a retracement is expected.

- The market's objective is to pull back inside previous up candles.

- We seek the most logical area for this pullback, identifying order blocks and fair value gaps for potential short-term bounces.

Consider a candle with a wick, indicating it traded lower after opening, suggesting a pass-through in the range. Even if it's an up-close, the range was offered twice.

- The top of a candle and its open on the next often serve as a short-term bounce level.

- Price may stall or trade right through such levels, retesting them before continuing. For example, clearing out equal lows.

CONTEXTUALIZING EXTERNAL VS. INTERNAL LIQUIDITY

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When evaluating liquidity levels, context is crucial. After trading below a low, redefine the current range (e.g., from the new low to the prior high).

- Stops below lows within this newly defined range are considered internal range liquidity.

- However, from a larger perspective (e.g., an older low to the current high), a piercing of these lows can be external range liquidity because it's outside that larger range.

- The expectation is for a range to be given up and stops run out. If the market is going higher after this, look for areas of liquidity.

IDENTIFYING FAIR VALUE GAPS AND TARGET LEVELS

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Identify an up candle and reference its opening price, extending it in time. Also, observe areas where price was only delivered on one side (e.g., only downside between two wicks), indicating a fair value gap.

- If price starts to trade higher, expect it to reach up into these fair value gaps or the highs of specific candles to close the range.

- These levels become internal range liquidity targets within the new trading range (e.g., from the current low to the current high).

MONTHLY CHART OBJECTIVES AND LOWER TIMEFRAME REFINEMENT

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The targets identified (e.g., fair value gaps, candle highs/lows) represent internal range liquidity within the defined range.

- When analyzing a higher timeframe chart (e.g., monthly Japanese Yen), these targets guide expectations.

- Dropping down to a lower timeframe (e.g., weekly chart) allows for further refinement of these levels, adjusting wicks to pinpoint the exact area price will look to fill, where delivery was only on one side.

INTERNAL ENTRY, EXTERNAL EXIT STRATEGY

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Every time the market creates a trading range going lower, mark off the previous high and the new low. When price trades back up into this range, you're trading inside it.

- A short entry at a bearish order block (the last up candle) is a return to internal range liquidity.

- The expectation is to exit on external range liquidity, which means targeting stops below the low.

- Predominantly, ICT entries are internal range liquidity entries with exits at external range liquidity. This means buying inside the range and selling outside the range once it breaks it.

HIGHER TIMEFRAME BIAS AND LOW RESISTANCE RUNS

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If you are in sync with the market's direction, framed by a higher timeframe (e.g., monthly chart), you can identify opportunities.

- If the monthly chart indicates a higher direction, buying below a short-term low (external range liquidity buy stops) is viable, with the expectation that the range will continue higher, seeking monthly internal range liquidity (like a fair value gap).

- Understanding the higher timeframe's direction allows for framing trade setups as 'low resistance liquidity runs'.

LOW RESISTANCE LIQUIDITY RUNS ON LOWER TIMEFRAMES

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On a daily chart, when the monthly and weekly charts suggest a higher trajectory, daily setups that create new highs are runs on external range liquidity on the daily timeframe.

- However, on the monthly chart, this is still internal range liquidity, as it's within a larger monthly range.

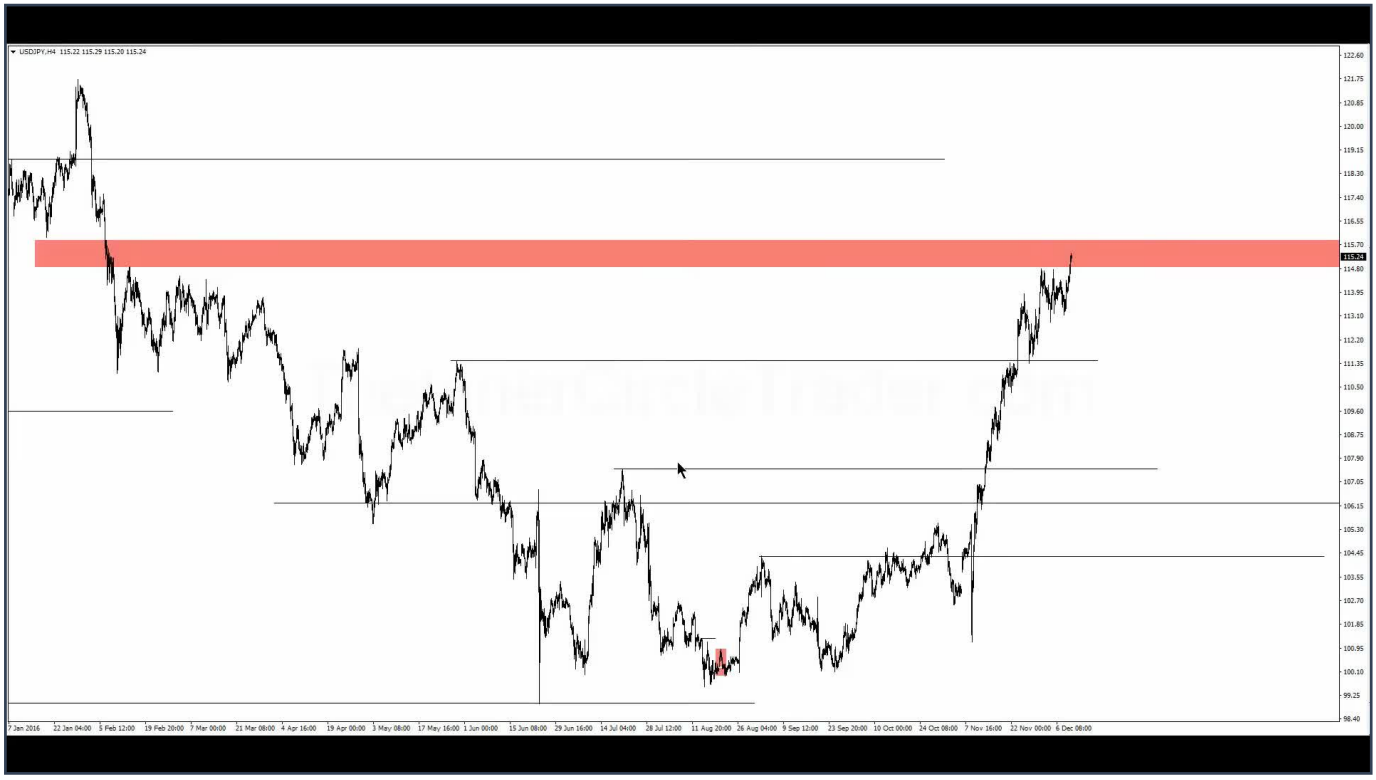
- This understanding creates low resistance liquidity runs, as price moves easily through short-term highs because it's in sync with the higher timeframe's agenda.

- Funds trade on monthly and weekly bases, so their objectives drive price with little resistance through lower timeframe levels.

Higher timeframe institutional order flow is used to frame where internal range liquidity and external range liquidity (buy stops) are located.

- The alignment of the entry type with the higher timeframe bias determines if it's a low resistance run.

- For example, if the market trades down, clears stops, gaps down (e.g., due to an election), closes the gap, and hits a previous bullish order block, it can then rally through to clear old highs and reach a monthly fair value gap.



After clearing highs and creating a gap, the market often comes back to close that gap before aggressively running to a higher timeframe fair value gap.

- Observe how price responds to retracements on lower timeframes (e.g., a four-hour chart, then a 15-minute chart).

- When a new range is established (low to high), price trading down into a bullish order block targets external range liquidity (above the high) for exits. This is buying internal range liquidity with an external range liquidity expectation.

The strategy involves buying internal range liquidity and exiting at external range liquidity. You don't necessarily collapse the entire trade; you look for ranges to take out highs.

- After a rally and retracement, the 'last down candle right before the up move' is an order block. Price trades back into it, populating more buys.

- The external range liquidity is above recent highs, and price runs through it.

- Even after small consolidations, price rallies, comes back down into a down candle, populates more buy orders, and runs towards higher timeframe targets like the monthly fair value gap. Significant profit-taking is observed upon reaching such targets.

BUILDING POSITIONS AND LONG-TERM OBJECTIVES

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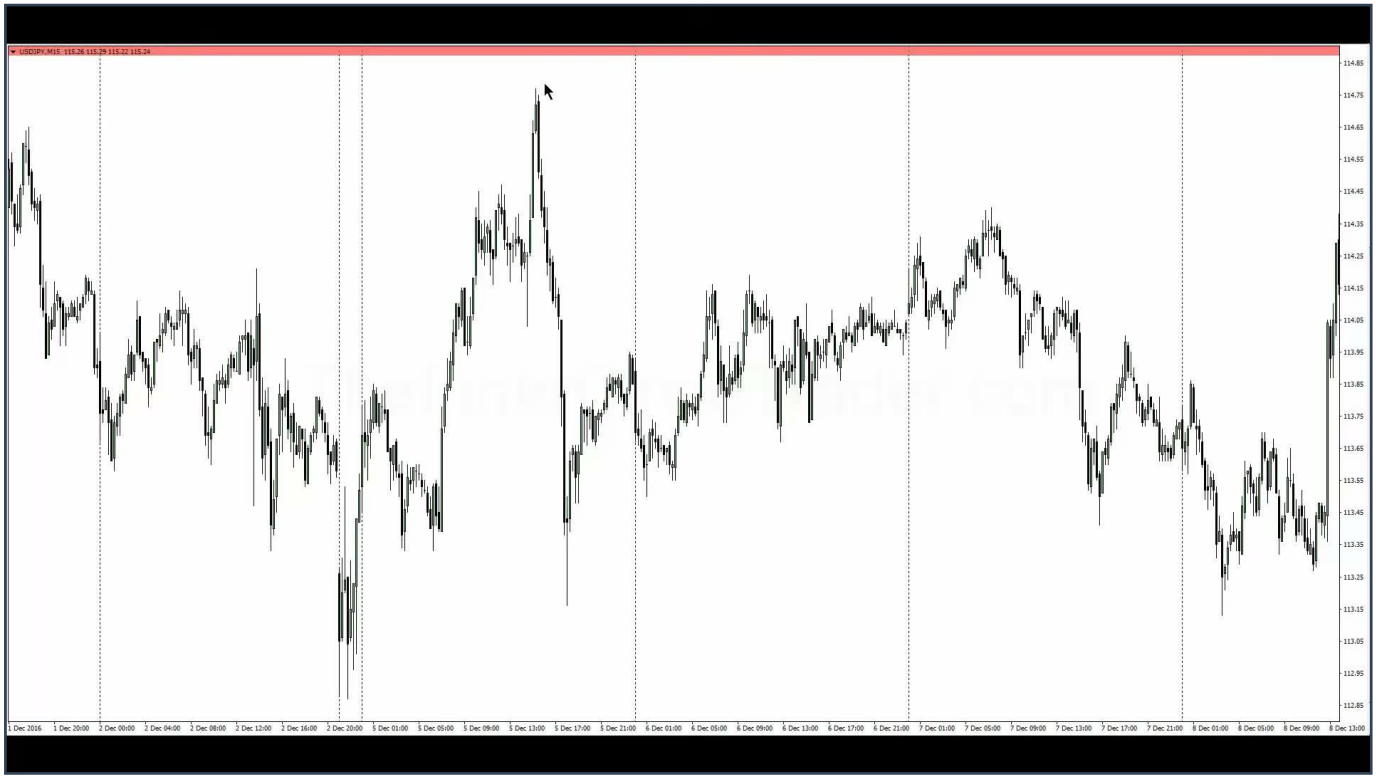

Every time the market creates an impulse price swing, it retraces back to a bullish order block (internal range liquidity) before running to external range liquidity (buy stops above highs).

- For a position trader, this cycle of impulse, retracement to order block, and rally requires patience.

- The market returns to previous order blocks to recapitalize more buy orders, building positions for a long-term objective. They accumulate at different levels (e.g., buy some here, buy some more here, let time pass, come back and buy more), averaging their position before a final aggressive run.

LOW RESISTANCE RUNS - DOLLAR YEN EXAMPLES

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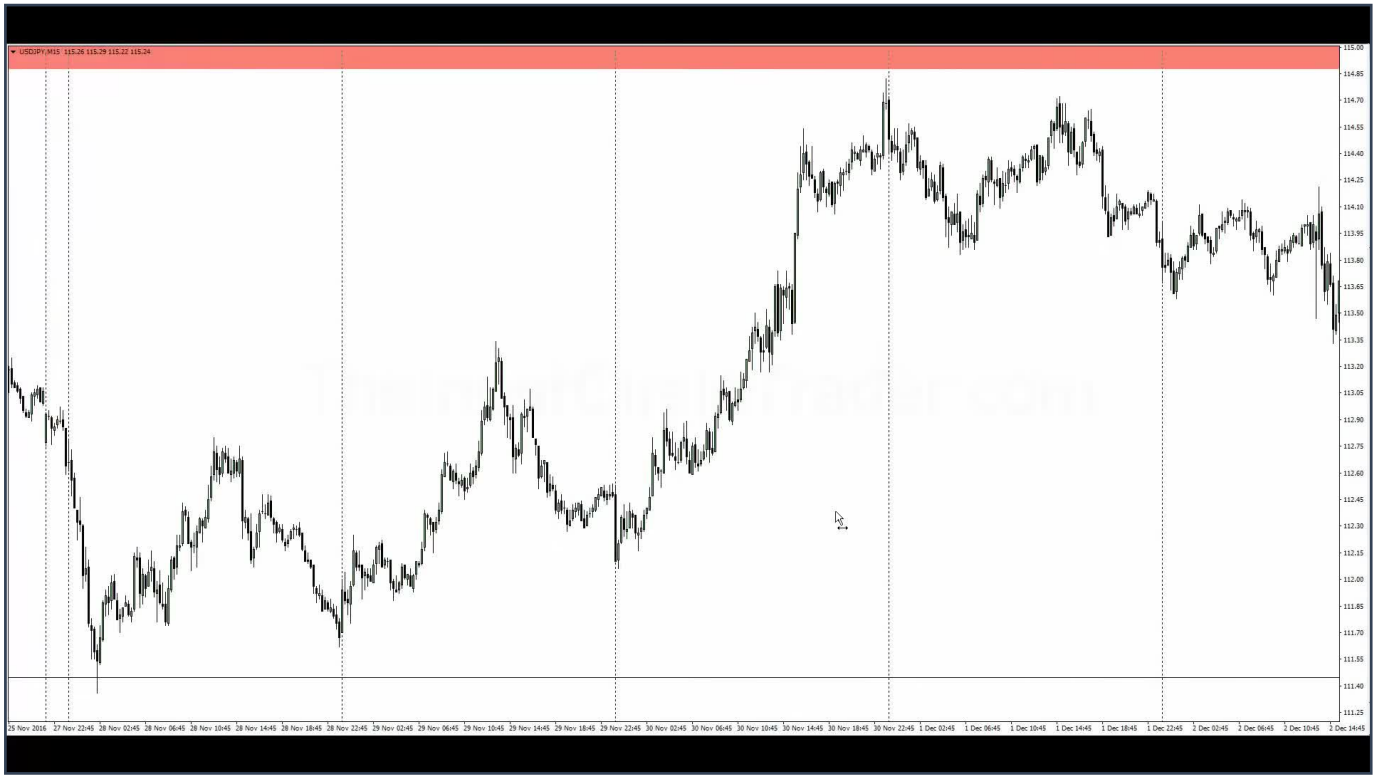

The Dollar Yen often provides many examples of low resistance liquidity runs.

- From a low, price rallies up, retraces to a previous order block, then runs to external range liquidity (buy stops above highs).

- Even from consolidation, price moves away, hits a previous order block, and rallies for external range liquidity.

MARKET EFFICIENCY AND NEW BUYING OPPORTUNITIES

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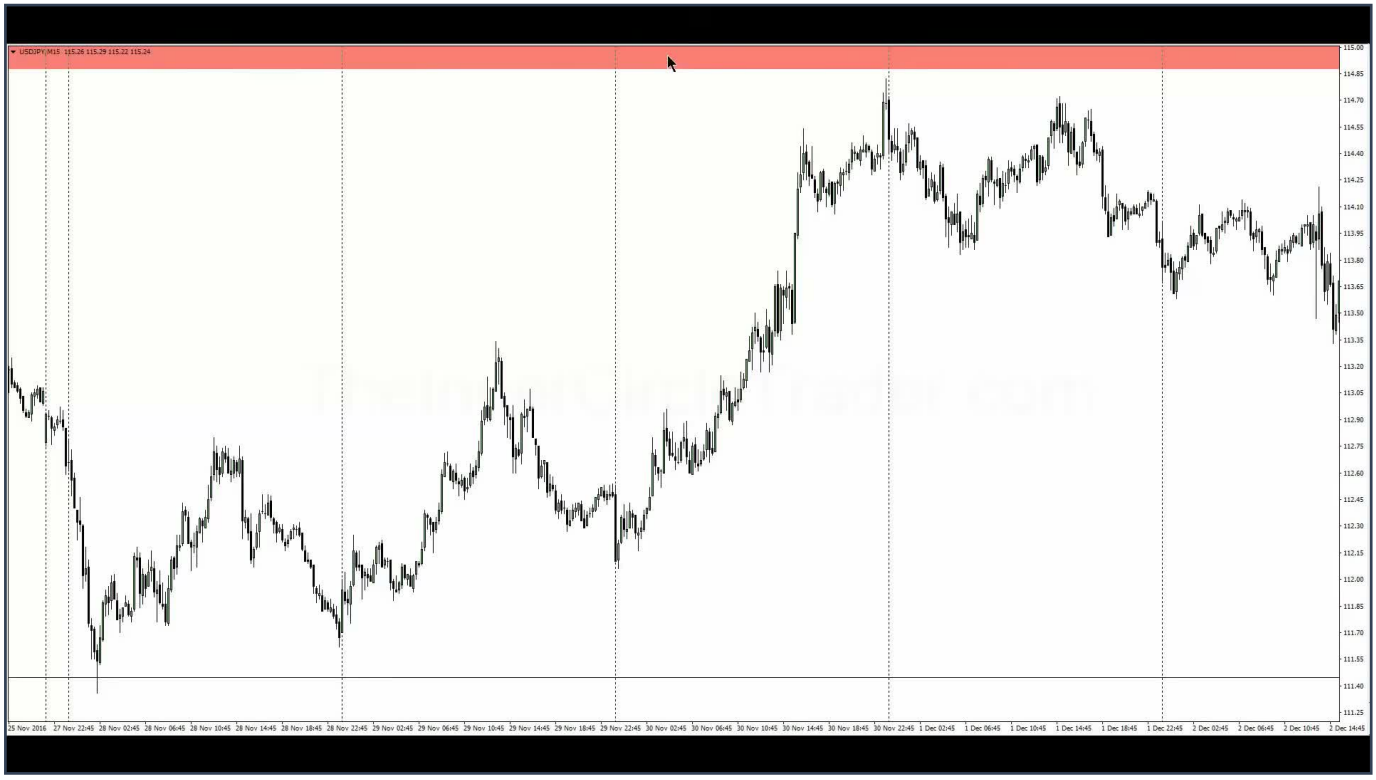

The market constantly seeks to efficiently deliver price. If a fair value gap on a monthly chart has no price trading into it, institutions will drive price to that level.

- This creates new buying opportunities as they build more positions. Price comes down to fill liquidity voids aggressively and then runs away.

- This cycle of impulse, retracement to a bullish order block (internal range liquidity), and unloading at external range liquidity (above range high) is observed repeatedly.

TARGETING LOWS FOR ACCUMULATION (TURTLE SOUPS)

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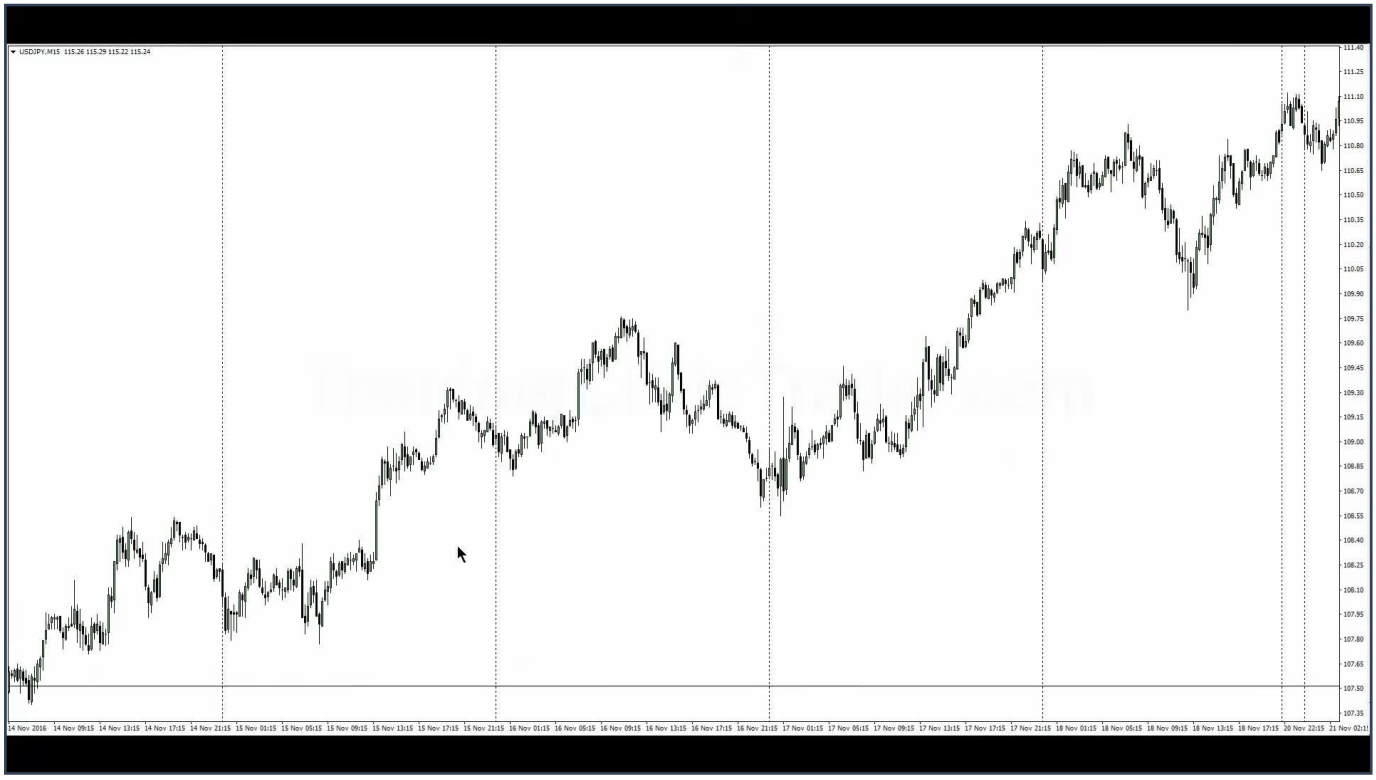

If no new buying opportunities (order blocks) are immediately available within ranges, traders can target lows.

- Go through the marketplace to find swing lows. Wait for price to trade through them on the downside. When this happens, it's often 'picking up orders' to accumulate new long positions (a Turtle Soup long).

- This pattern is seen repeatedly: rallies, retracements to bullish order blocks, more consolidation, stop runs, and then rallies to clear equal highs.

TRADER TYPES: TURTLE SOUPS VS. FAIR VALUE RETURNS

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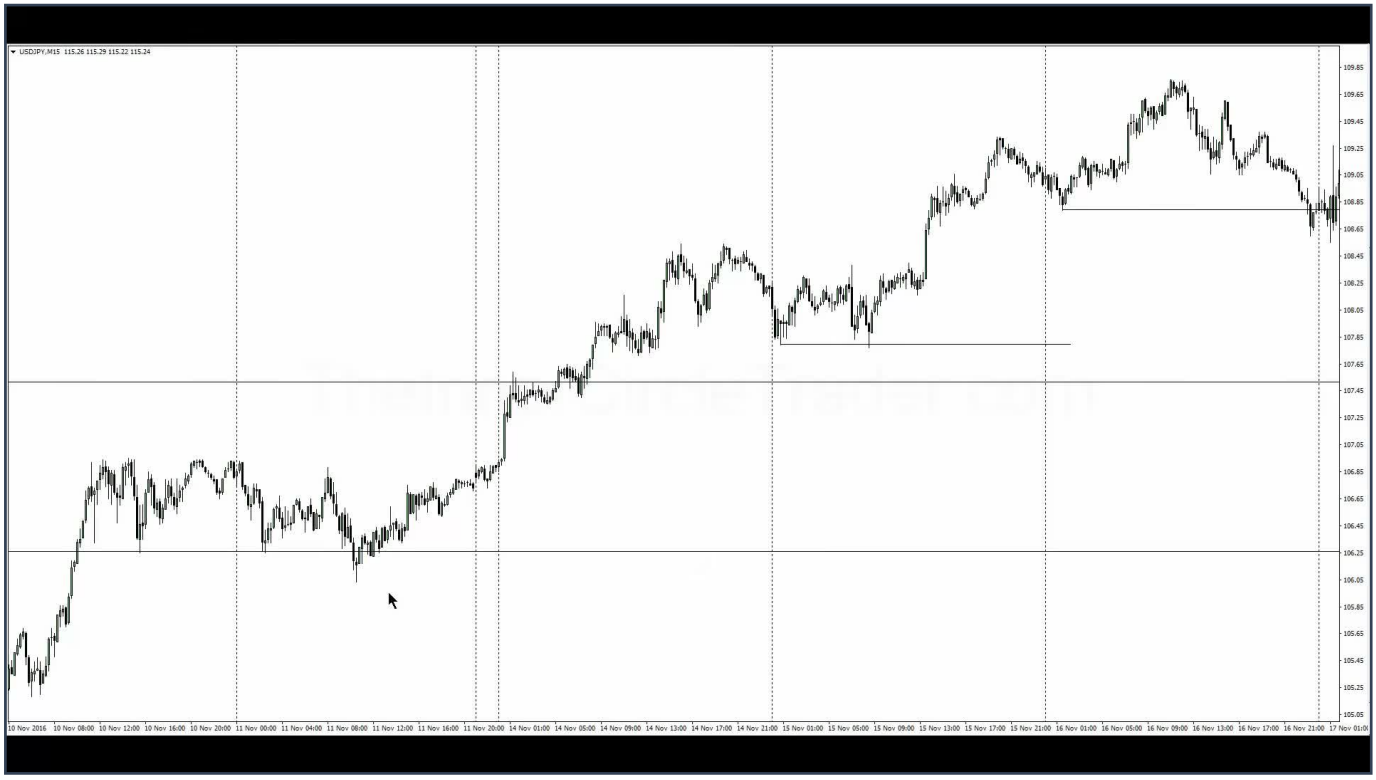

Your trading style will be based on what you easily perceive in the charts:

- You might look for 'Turtle Soups', buying of sell stops or selling of buy stops.

- Alternatively, you might look for a return back to fair value, trading inside the range, or buying internal range liquidity.

- Framing the marketplace with either of these disciplines allows for consistent setup identification, aiming for at least one setup per week.

WEEKLY SETUP FREQUENCY AND TIMEFRAME SELECTION

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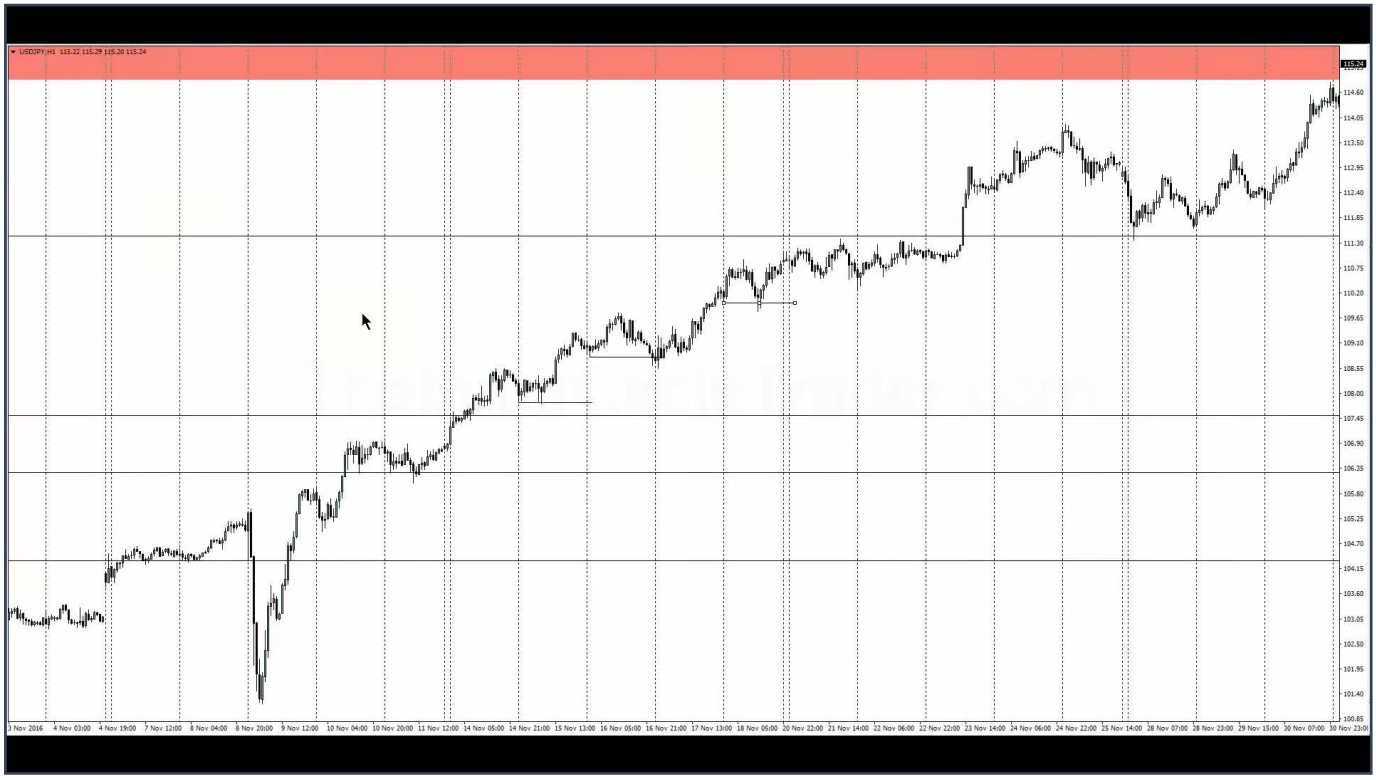

The goal is one setup per week. Using the hourly chart, we can identify numerous buying opportunities, often on specific days (Monday, Tuesday, Wednesday, Thursday).

- It's important to note periods of uncertainty, like elections, where being on the sidelines is prudent.

- These setups often involve price returning to previous bullish order blocks before rallying.

HIGHER TIMEFRAME BIAS FOR LOWER TIMEFRAME ENTRIES

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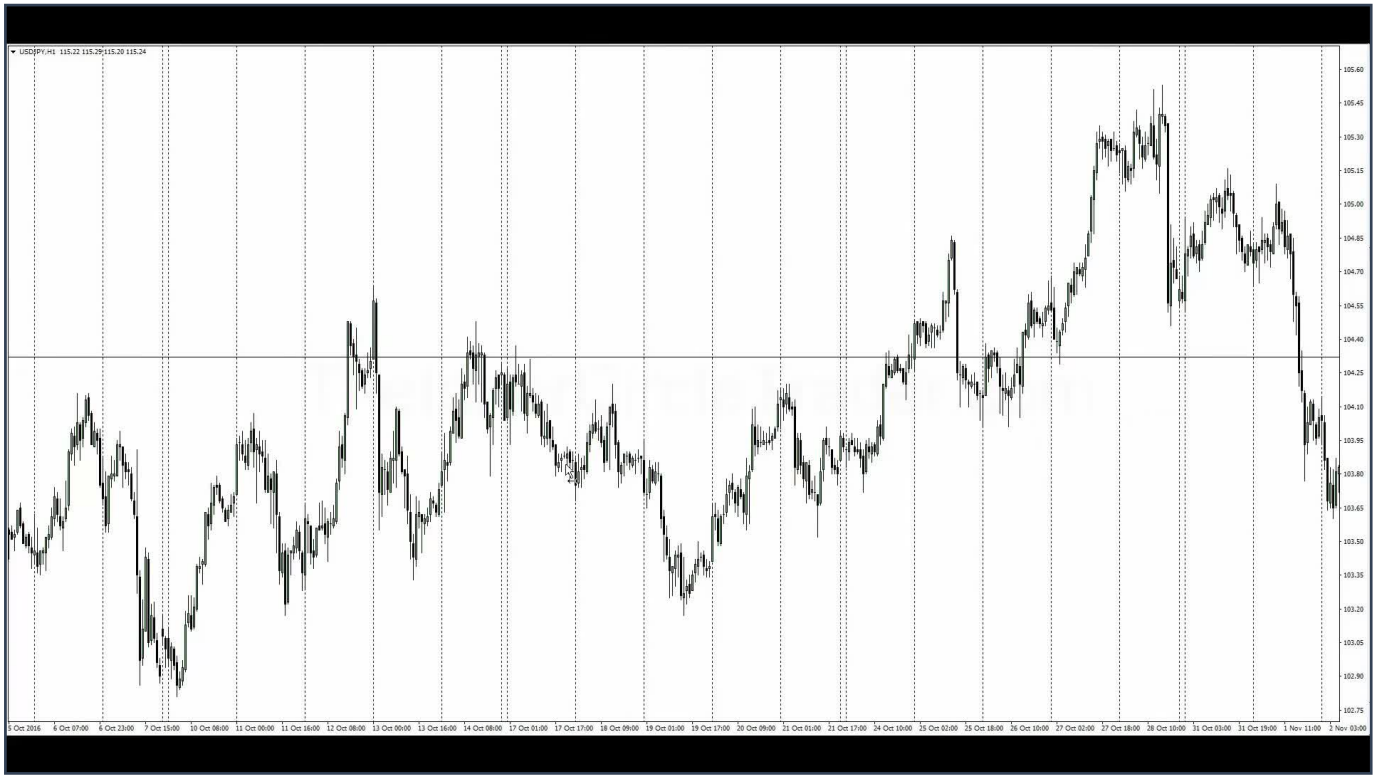

If the higher timeframe (e.g., monthly chart) calls for a run higher, even if the market is dropping (a correction), your mindset shifts.

- Instead of avoiding the pair, you look for external range liquidity (sell stops) on the lower timeframe (e.g., hourly chart) that the market is trying to breach.

- The expectation is a quick reaction away from these lows, indicating willingness to go back up.

OBSERVING PRICE REACTION TO EXTERNAL LIQUIDITY SWEEPS

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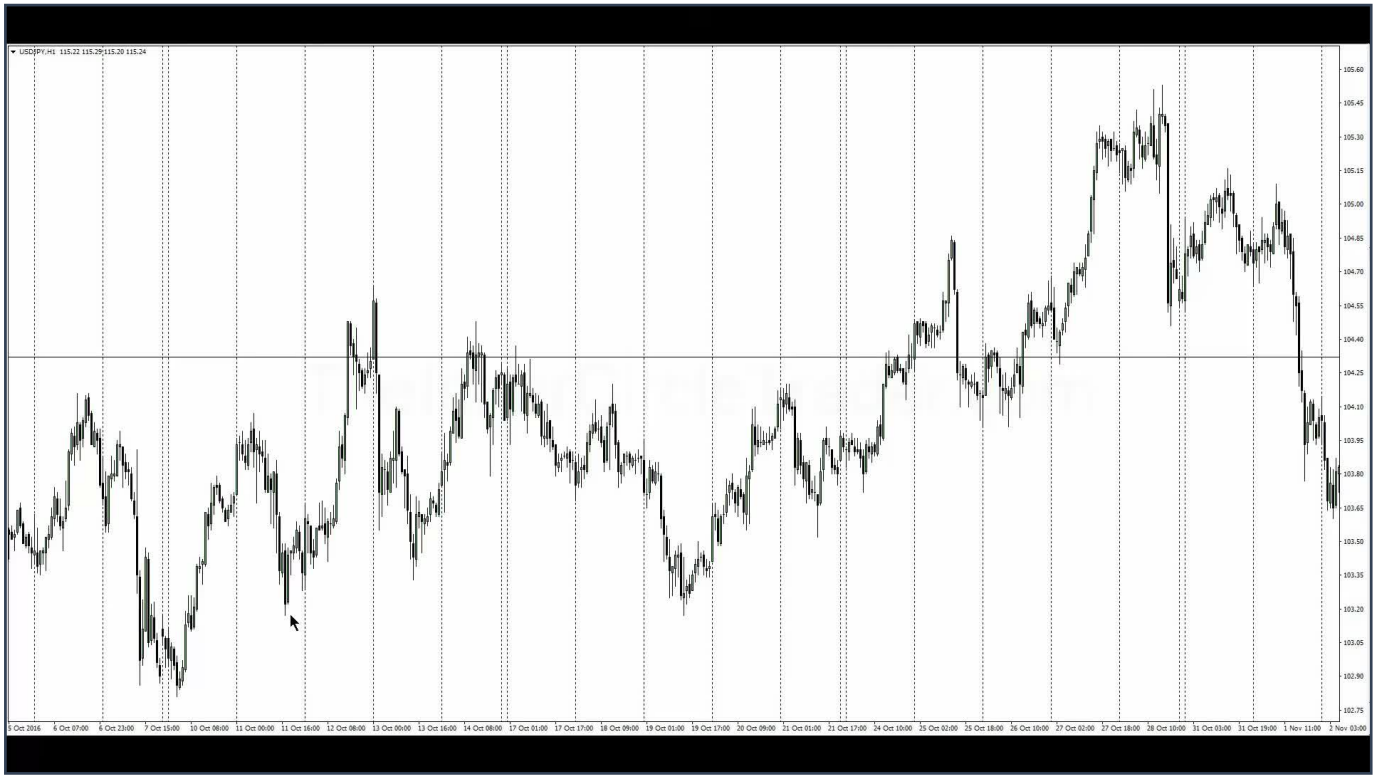

When price sweeps external range liquidity (runs lows), observe if it quickly runs away. This 'tips its hand'.

- Wait for a bullish order block to form (a down candle whose high is breached by subsequent price action).

- Any return back into the range of this bullish order block offers a buying opportunity. The market may create subsequent order blocks or consolidate before hitting a previous one, requiring patience (e.g., hours on an hourly chart).

CONFIRMING UNDERLYING STRENGTH

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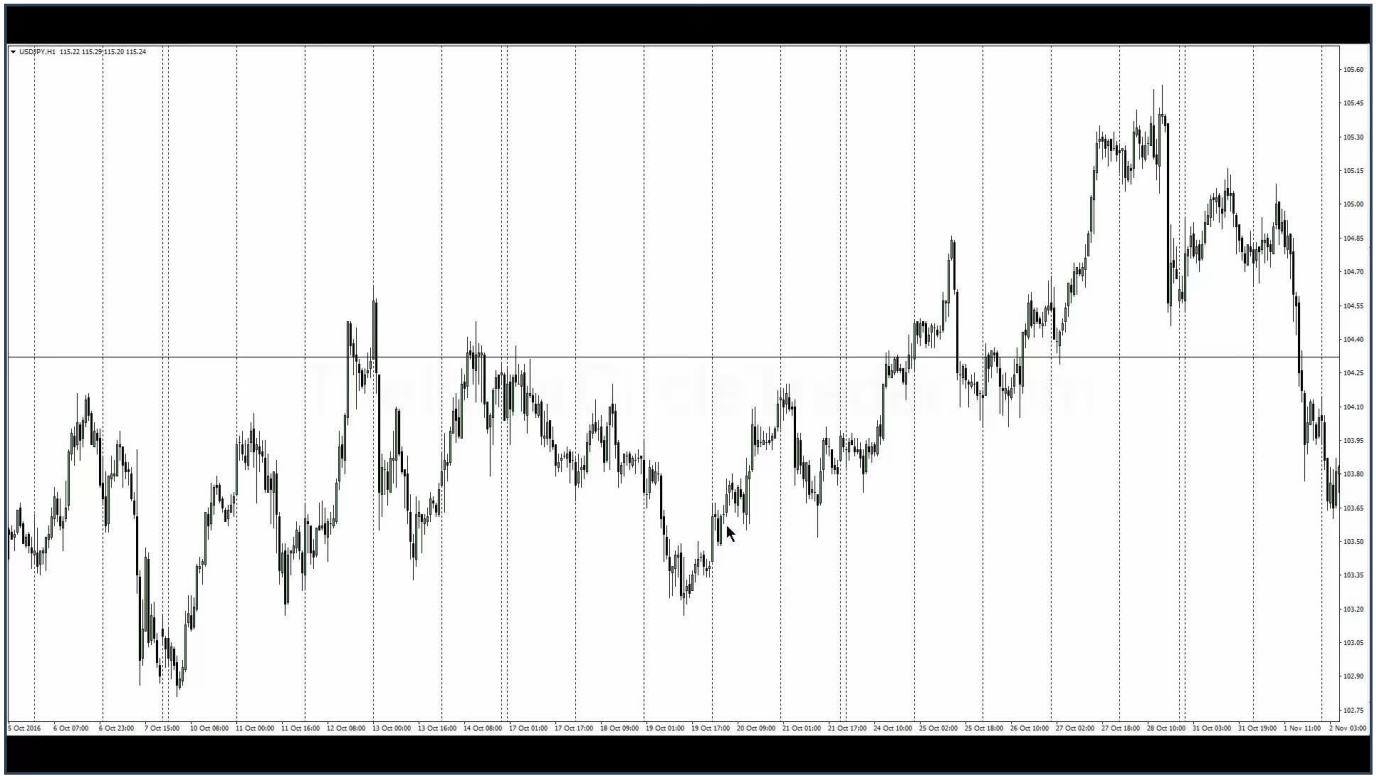

When price goes below a low, runs the stops out, but quickly runs away, it signifies underlying strength. Any subsequent taking out of new highs confirms this willingness to go higher.

- Even during declines, if the higher timeframe bias is bullish, these declines are often seen as opportunities for accumulation.

- Note: Periods of high uncertainty (like elections) should be avoided, as they introduce unpredictable price action.

WEEKLY SETUP EXAMPLES AND IMPULSE SWINGS

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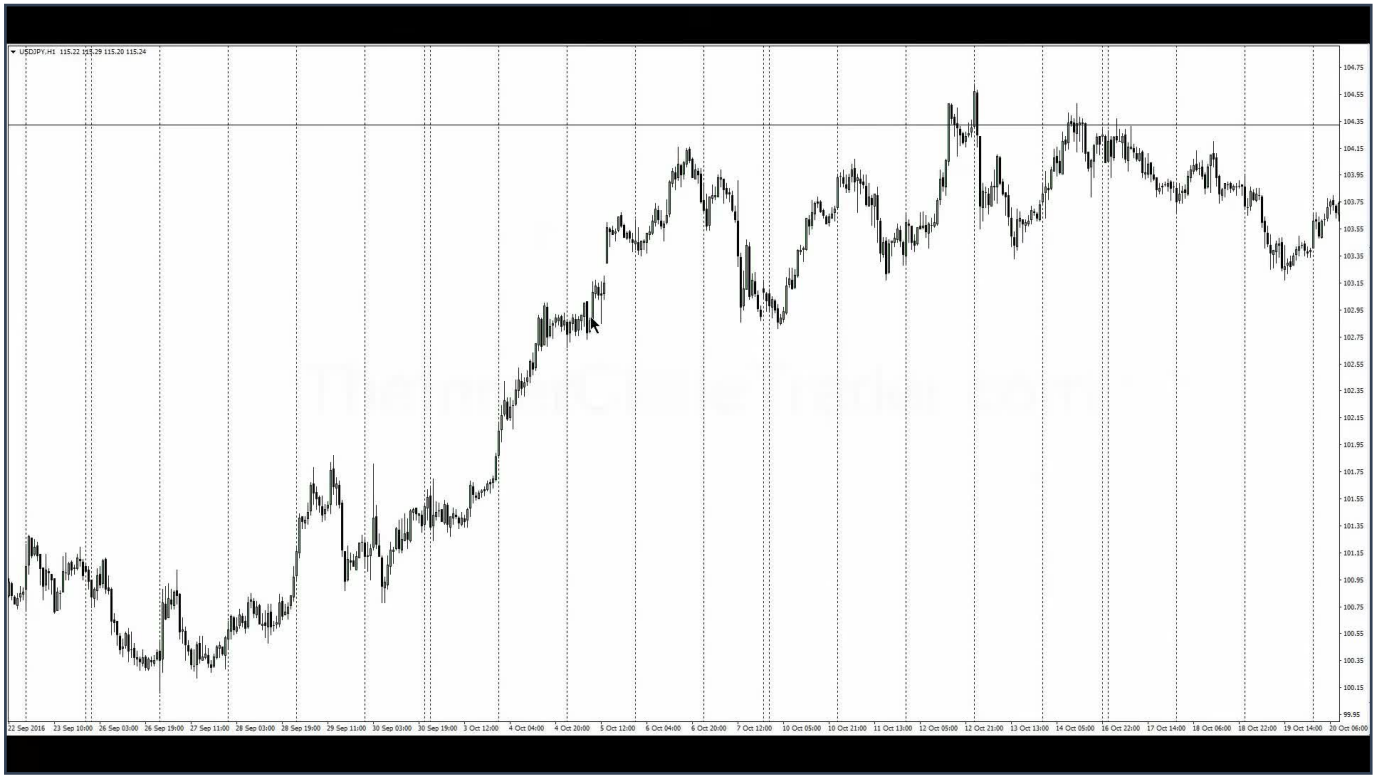

Look for salient price swings each week. Impulse price swings followed by retracements to previous order blocks offer entry opportunities.

- The objective is not to capture every piece of the weekly range, but to identify one solid setup.

- This approach demonstrates how framing the larger timeframe direction helps define low resistance liquidity runs versus high resistance equilibrium runs.

FRAMING LOW RESISTANCE LIQUIDITY RUNS WITH HIGHER TIMEFRAMES

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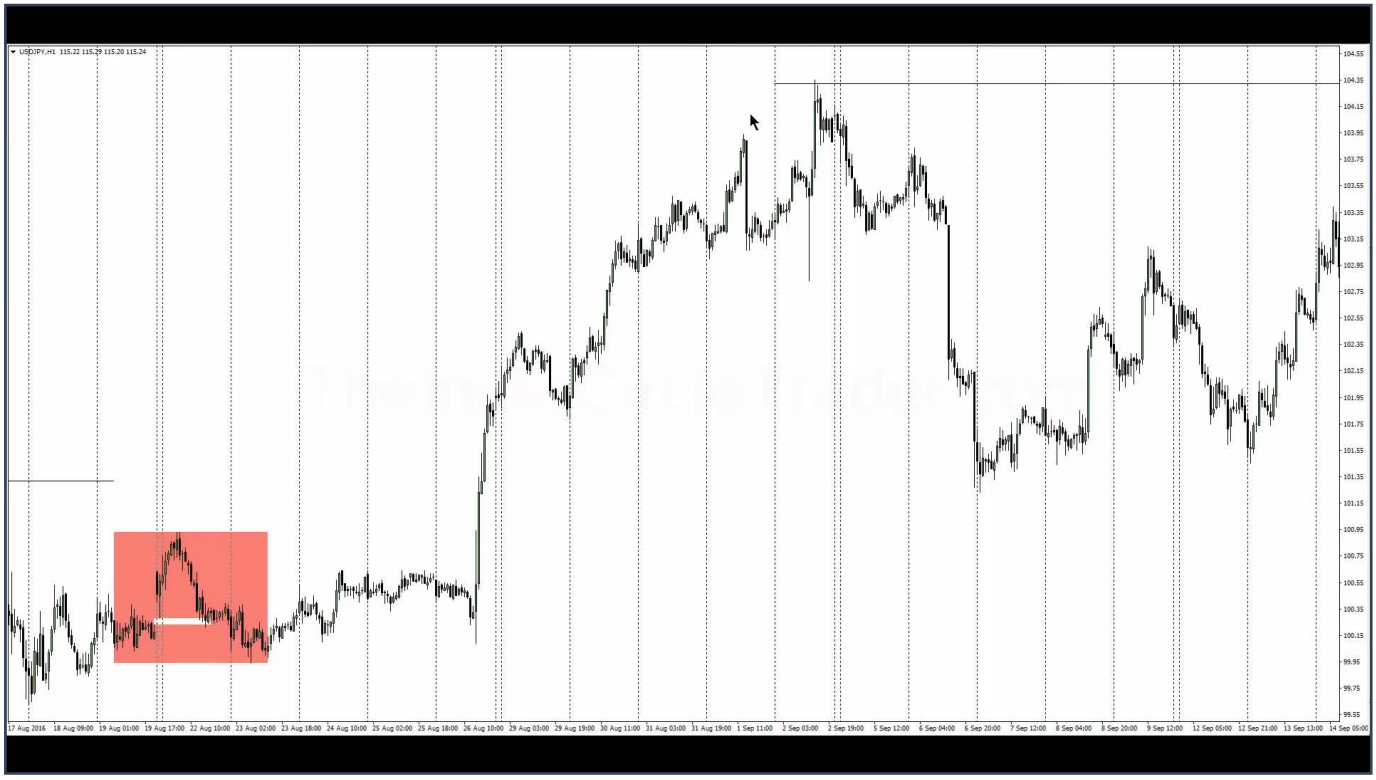

When higher timeframe ideas are transposed to lower timeframes, the expectation is for rallies with very little resistance.

- This is because the underlying market bias is bullish on the higher timeframe (e.g., monthly).

- A bullish monthly chart means price will easily smash through short-term highs, driven by higher-end money.

- The monthly chart is a key player in framing low resistance liquidity runs. Traders must ascertain where the market is seeking to go on the monthly chart.

ASCERTAINING DIRECTIONAL BIAS: MONTHLY OR WEEKLY

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If you cannot determine the market's direction on the monthly chart, drop down to the weekly chart.

- The weekly chart can still reveal areas where the market is inclined to trade into and close, especially where price was only offered on one side (fair value gaps).

- Observing price breaking short-term highs can indicate a potential Market Maker Buy Profile, leading price back into institutional order flow areas, often with a fair value gap as an initial target.

SUMMARY: LOW RESISTANCE VS. HIGH RESISTANCE LIQUIDITY RUNS

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Understanding why certain trades are low resistance liquidity runs helps identify what your trades are NOT (high resistance liquidity runs).

- You want to trade with the least resistance.

- When buying on a retracement to an order block, you want to see the high taken out.

- If trading against a higher timeframe bias with no fundamental reason for funds to move price to your target, it will be a high resistance liquidity run. These trades tend to sit too long, don't pan out, or result in quick stop-outs.

CHEAT SHEET: MONTHLY/WEEKLY BIAS FOR LOWER TIMEFRAME SIGNALS

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For a simple cheat sheet:

- Look at the monthly or weekly chart to determine the most likely market direction.

- If bullish on monthly/weekly, look for buy signals on lower timeframes (daily, four-hour, one-hour).

- Target bullish order blocks or Turtle Soup longs.

- Expect short-term highs on those lower timeframes to be the objective.

- If the directional bias is bullish, an hourly chart showing a return to a bullish order block for a small 20-pip range to the next high is generally not a good trade.

MINIMUM PIP OBJECTIVES FOR TRADES

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A 20-pip range from an order block entry to the high in between is usually not worth taking.

- Aim for price swings that offer at least 40 pips. This provides a reasonable first profit objective.

- Larger timeframes and bigger price swings (e.g., 75-80 pips) offer more depth and pip potential. This allows for achieving profit goals (e.g., 50 pips a week) even if the entire range isn't broken.

- The beauty of trading price action is that you don't need the range to break completely to be profitable, provided you frame the right swing.

If your goal is, for example, 50 pips per trade/week, look for ranges with 50 pips or more (preferably 75-80 pips).

- This way, even if price doesn't break above the old high, you still have the opportunity to secure your 50 pips.

- Don't feel compelled to capture the full range or wait for a break if your profit objective can be met within the range. This avoids impulsive entries on small price swings (e.g., 25-30 pips).

SELECTIVE TRADING VS. IMPULSIVE ENTRIES

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Being more selective in your setups means trading less frequently but with higher quality, more potent setups that have a greater likelihood of panning out in your favor.

- You cannot achieve this if you trade every single setup in every timeframe.

- Pick a timeframe that aligns with your trading model and pip objectives. For example, to achieve 250 pips over two weeks, use a four-hour or daily chart, not a five-minute chart.

TIMEFRAME SELECTION FOR SPECIFIC PIP GOALS

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For objectives like 100-150 pips, focus on higher timeframes such as the four-hour or daily chart. These give greater potential range in terms of pips. This requires more patience.

- For daily examples, a 15-minute chart is used to demonstrate frequent setups, though not all deliver high risk-reward ratios.

- For larger moves (100-150 pips), an hourly or higher chart working off an analogy gives greater opportunity.

Having higher timeframe charts provide directional bias helps frame whether a trade is a low resistance or high resistance liquidity run.

- Developing skills on higher timeframes, focusing on their directional bias (monthly/weekly), helps resist impulsive trades.

- Without higher timeframe consideration, trades can reverse quickly, leading to hindsight regret.

- Staying aligned with the monthly/weekly directional bias significantly increases the odds of a low resistance liquidity run.

MARKET MAKER PERSPECTIVE: DRIVING PRICE TO ORDERS

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From a market maker's perspective, they drive price to where orders are, and these locations are not random; they are logical.

- In a bullish market, price will go above short-term highs. The exact furthest high is not known, but the market will continuously break successive highs as it establishes new ranges.

- The monthly chart provides a logical area to trade to. Once that objective is met, evaluate whether there's more willingness to go higher or if consolidation is more prudent.

CONCLUSION: MINDSET AND LOW RESISTANCE RUNS

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The aim of this module is to establish a monthly or weekly mindset.

- When trading on lower timeframes, every trade setup aligned with that higher timeframe directional bias will help you find the low resistance liquidity runs you seek.

- These are high-probability setups, offering immediate payouts, responsiveness to entries, and minimal drawdown, which is the ultimate goal for a trader.